

Best's Credit Rating Effective Date

April 08, 2026

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Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

[Market Segment Outlooks](#)

Financial Data Presented

Financial data in this report: (i) includes data of affiliated entities that are not rating unit members where analytics benefit from inclusion; and/or (ii) excludes data of rating unit member entities if they operate in different segments or geographic areas than the Rating Unit generally. See [list of companies](#) for details of rating unit members and any such included and/or excluded entities.

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

CNO Financial Group

AMB #: 069803

Associated Ultimate Parent: AMB # 058030 - CNO Financial Group, Inc.

Best's Credit Ratings - for the Rating Unit Members

Financial Strength Rating (FSR)

A
Excellent
Outlook: Stable
Action: Affirmed

Issuer Credit Rating (ICR)

a
Excellent
Outlook: Stable
Action: Affirmed

Assessment Descriptors

Balance Sheet Strength	Very Strong
Operating Performance	Strong
Business Profile	Neutral
Enterprise Risk Management	Appropriate

Rating Unit - Members

Rating Unit: CNO Financial Group | **AMB #:** 069803

AMB # **Rating Unit Members**
060002 Bankers Consec Life Ins Co
006149 Bankers Life and Casualty Co

AMB # **Rating Unit Members**
006240 Colonial Penn Life Ins Co
007218 Washington National Ins Co

Rating Rationale

Balance Sheet Strength: **Very Strong**

- Risk-adjusted capitalization is assessed as strong as measured by Best's Capital Adequacy Ratio (BCAR).
- Both the parent and the operating entities have strong liquidity measures with adequate holding company cash on hand. The parent company has access to capital from the Federal Home Loan Bank.
- Assets and liabilities are well matched across all asset classes.
- Uses reinsurance strategically to move risk off its balance sheet and has moved business into an affiliated Bermuda captive.

Operating Performance: **Strong**

- Premium growth trends are favorable and expected to continue in the near term in the annuity, life and health product segments.
- CNO has reported consistently favorable and diversified operating results, which are largely driven by its health business lines.
- Total returns from investment income across all product lines and not allocated to product lines have been a strong contributor of stable statutory net earnings.

Business Profile: **Neutral**

- The group has a well-diversified product portfolio offering a wide array of retirement, life and accident/health products.
- Markets products directly to consumers through exclusive agents and at worksites through a broad set of distribution channels. CNO has grown by leveraging its investments in technological capabilities.
- While the degree of competition is high across the product set offered by the core companies, CNO maintains a competitive position within its target markets.

Enterprise Risk Management: **Appropriate**

- CNO maintains an ERM framework based on an embedded risk governance and risk culture, ongoing discipline, active risk identification and reporting with rigorous monitoring of the organization's highest risks.
- The corporation's Risk Appetite Statement establishes a set of principles including minimums and maximums, focused on capital, earnings, and franchise value. This provides management with a guide to develop its risk tolerances.
- The organization utilizes stress testing and use of measurement tools to identify, manage and mitigate its risks.

Outlook

- The stable outlooks reflect AM Best's expectation that the group will continue its trend of strong operating performance and maintain its very strong balance sheet strength assessment. AM Best expects CNO to manage its risk profile through its reinsurance partners and measured steps utilizing its Bermuda captive over the medium term.

Rating Drivers

- A negative rating action could result from significant deterioration in balance sheet metrics.
- A negative rating action could result from a trend of declining operating performance.
- While unlikely, a positive rating action may occur if the business profile expands without compromising the rating unit's balance sheet strength assessment measures.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	38.5	15.3	5.6	3.8

Source: Best's Capital Adequacy Ratio Model - L/H, US

Year End - December 31

Key Financial Indicators USD (000)

	2025	2024	2023	2022	2021
Assets:					
General Account	31,051,190	31,216,440	28,676,181	27,368,269	25,810,705
Separate Accounts	2,802	3,261	3,100	2,679	3,891
Total	31,053,992	31,219,702	28,679,280	27,370,949	25,814,595
Liabilities:					
Net Life Reserves	16,761,130	15,859,869	15,011,048	14,321,100	13,702,303
Net Accident & Health Reserves	5,167,069	6,842,104	6,642,331	6,437,112	6,293,976
Liability for Deposit Contracts	6,255,901	5,662,366	4,079,587	3,553,016	2,691,326
Asset Valuation Reserve	508,639	406,959	352,439	305,725	332,376
Other General Account	981,784	1,023,039	1,080,690	948,537	1,033,017
Total	29,677,326	29,797,598	27,169,194	25,568,170	24,056,889
Total Capital and Surplus	1,376,666	1,422,103	1,510,086	1,802,779	1,757,707
Net Income	33,773	229,676	85,166	204,415	218,341
Net Premiums Earned	1,033,709	2,833,065	3,741,859	4,136,146	3,961,834
Net Investment Income	1,499,267	1,594,788	1,374,994	987,263	1,341,903

Source: BestLink® - Best's Financial Suite

Year End - December 31

Key Financial Ratios (%)

	2025	2024	2023	2022	2021	Weighted Average
Operating Return on Revenue	2.6	4.5	2.0	4.4	4.2	3.6
Operating Return on Capital and Surplus	6.9	17.1	6.7	12.9	13.0	11.4
Net Investment Yield	5.0	5.5	5.0	3.8	5.5	5.0
Pre-Tax Investment Total Return	4.3	5.3	4.9	3.5	5.8	4.8

Source: BestLink® - Best's Financial Suite

Year End - December 31

Leverage (%)

	2025	2024	2023	2022	2021
General Account Liabilities to Capital and Surplus	21.6	21.0	18.0	14.2	13.7
Higher Risk Assets to Capital and Surplus:					
All Other Higher Risk Assets	153.1	136.0	115.5	101.9	127.6

Source: BestLink® - Best's Financial Suite

Year End - December 31

Liquidity Analysis

	2025	2024	2023	2022	2021
Current Liquidity (%)	84.6	88.3	89.9	94.2	93.6
Net Operating Cash Flow USD (000)	1,277,993	778,049	1,043,232	1,062,836	1,029,371

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

The group's balance sheet strength is assessed as very strong and is supported by a strong level of risk adjusted capitalization, as measured by Best's Capital Adequacy Ratio (BCAR). CNO's high-quality, liquid investment portfolio and ample financial flexibility add to its credit ratings balance sheet strength.

Capitalization

As of year-end 2025, CNO Financial Group's statutory capital and surplus decreased to \$1.38 billion, from \$1.42 billion in 2024. Operating gains typically contribute to capital and surplus growth, however long-term growth of capital and surplus have been offset by

Balance Sheet Strength (Continued...)

dividends paid up to the holding company. Although the trend is expected to continue into 2026, risk-adjusted capital levels are expected to stabilize at the strong level on a BCAR assessment basis. . Furthermore, on a consolidated risk-adjusted capital basis, the company disclosed its RBC to be 380% at year-end 2025, above its target of 375%.

CNO maintains a good liquidity profile due to its investments in high quality securities in addition to cash and short-term investment holdings, with the bulk of the portfolio publicly traded. Despite the generally modest percentage of cash and short-term investments in recent years, the liquidity position within the group has remained relatively unchanged at or near one percent of the total investment allocation. AM Best believes CNO's liquidity position is appropriate for the long-term nature of its liabilities and uses cash flow testing to ensure its asset-liability matching is sound. In addition, the parent company has the ability to access capital markets and the potential to utilize available lines of credit, including its investment borrowing capacity from the Federal Home Loan Bank, which provides members of the group with additional sources of cash if needed.

CNO has executed a number of capital management initiatives to improve its liquidity and capital position in recent years. Parent company CNO Financial Group Inc. has tapped the capital markets and issued debt. Additionally, the company has access to a \$250 million credit facility and on May 8, 2025, CNO Inc. entered into a sixth amendment and restatement agreement with respect to its Revolving Credit Agreement. The Sixth Amendment Agreement upholds the Secured Overnight Financing Rate ("SOFR") as the applicable reference rate for loans and commitments under the Revolving Credit Agreement denominated in U.S. dollars. In November 2020, the CNO issued \$150 million of long-term subordinated debentures maturing in 2060 and in 2024 a \$700 million note with a maturity of June 2034 was issued to replace a \$500 million senior note maturing in May 2025. CNO's debt-to-capital leverage ratio is approximately 32% excluding accumulated and other Comprehensive income and remains in line with peers.

Year End - December 31

Capital Generation Analysis USD (000)	2025	2024	2023	2022	2021
Beginning Capital and Surplus	1,422,103	1,510,086	1,802,779	1,757,707	1,766,647
Net Operating Gain	97,156	249,977	111,410	230,257	229,611
Net Realized Capital Gains (Losses)	-63,382	-20,302	-26,244	-25,841	-11,270
Net Unrealized Capital Gains (Losses)	79,454	24,289	28,927	-58,644	49,622
Net Change in Paid-In Capital and Surplus	-329,750	-86,409	-14,750	-35,500	-47,000
Stockholder Dividends	-35,900	-82,841	-459,296	-65,000	-225,000
Other Changes in Capital and Surplus	206,985	-172,697	67,260	-199	-4,904
Net Change in Capital and Surplus	-45,437	-87,983	-292,693	45,072	-8,940
Ending Capital and Surplus	1,376,666	1,422,103	1,510,086	1,802,779	1,757,707
Net Change in Capital and Surplus (%)	-3.2	-5.8	-16.2	2.6	-0.5
Net Change in Capital and Surplus (5 yr CAGR)	-4.9	...	...	...	...

Source: BestLink® - Best's Financial Suite

Asset Liability Management - Investments

CNO's investment portfolios by company are primarily managed by its wholly-owned subsidiary, 40|86 Advisors Inc. (40|86), a registered investment advisor. The overall investment objective is to construct a diversified portfolio of multiple asset classes designed to match CNO's stable and predictable liability profile while maintaining a predominantly investment-grade, diversified fixed income portfolio with sufficient liquidity to maximize total return. 40|86 looks to maximize net investment income through active management of the portfolio.

Approximately 97% of CNO's fixed maturity investment portfolio is comprised of investment grade fixed maturity securities. The allocation of public corporate bonds comprises approximately 39% of the total investment portfolio and taxable municipals at approximately 12% of the total portfolio with all other asset classes allocated no higher than approximately 10% or less of the total portfolio. Mortgage loans have held steady in recent years, and now comprise approximately 6% of the group's total invested assets as of December 31, 2025. The remainder of the investment portfolio is comprised of equities, policy loans, real estate, cash and short-term equivalents along with other invested assets. Publicly traded corporate bonds continue to make up the majority of CNO's fixed income securities, with additional allocations to asset-backed securities (ABS), commercial mortgage obligations (CMO), commercial mortgage-backed securities (CMBS), Collateralized Loan Obligations (CLO), and municipal securities.

Balance Sheet Strength (Continued...)

Year End - December 31

Composition of Cash and Invested Assets	2025	2024	2023	2022	2021
Total Cash and Invested Assets USD (000)	29,884,178	30,091,435	27,689,988	26,524,716	24,990,597
Composition Percentages (%)					
Unaffiliated:					
Cash and Short Term Investments	1.3	3.5	1.2	1.2	1.2
Bonds	80.4	81.9	85.0	87.7	87.0
Stocks	1.5	1.0	1.0	1.0	1.0
Mortgage Loans	5.7	4.7	4.8	4.1	4.0
Other Invested Assets	5.6	4.9	5.2	4.7	5.8
Total Unaffiliated	94.4	96.0	97.3	98.7	99.0
Investments in Affiliates	5.6	4.0	2.7	1.3	1.0
Total	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Year End - December 31

Composition of Bond Quality (%)	2025	2024	2023	2022	2021
Investment Grades					
Class 1 (Highest Quality)	64.0	63.1	63.8	60.6	57.0
Class 2 (High Quality)	31.9	33.1	33.0	36.0	37.8
Total Investment Grade	95.8	96.2	96.8	96.6	94.8
Non-Investment Grades					
Class 3 (Medium Quality)	2.8	2.7	2.4	2.7	3.6
Class 4 (Low Quality)	1.2	1.0	0.7	0.7	1.4
Class 5 (Lower Quality)	0.1	0.1	0.2	0.1	0.2
Class 6 (In or Near Default)	...	0.1	...	...	...
Total Non-Investment Grade	4.2	3.8	3.2	3.4	5.2
Below Investment Grade - % of Capital & Surplus	53.1	51.9	40.7	37.9	53.7

Source: BestLink® - Best's Financial Suite

Years

Bonds and Short Term Investments	0-1	1-5	5-10	10-20	20+	Average (Years)
Distribution by Maturity (%)						
Total Publicly Traded Bonds	2.4	9.8	9.3	17.5	19.2	14.5
Total Privately Placed Bonds	3.4	16.0	11.5	6.3	3.9	8.0
Total Bonds	5.9	26.0	21.0	23.9	23.2	11.8

Source: BestLink® - Best's Financial Suite

Year End -
December 31

Bonds - Distribution by Issuer	2025
U.S. Govt & Municipalities - Issuer Credit Obligations	10.9
Foreign Govt & Municipalities - Issuer Credit Obligations	0.5
All other Issuer Credit Obligations - U.S. - Unaffiliated	41.6
All other Issuer Credit Obligations - Foreign - Unaffiliated	10.0
Asset-Backed Securities - U.S. - Unaffiliated	31.9
Asset-Backed Securities - Foreign - Unaffiliated	5.0

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)**Holding Company Assessment**

CNO Financial Group, Inc. operates with a BCAR in the range of very strong to strongest. There is a moderate amount of leverage on the balance sheet and interest coverage is over two times earnings through year-end 2025. Liquidity at the consolidated level is robust with approximately \$960 million of cash and cash equivalents through the end of 2025, which is more than adequate to cover its near to medium term liabilities.

Operating gains at the consolidated level are primarily comprised of fee income and net gains from its insurance subsidiaries. The organization has navigated through the post pandemic well and its non-risk revenue has served as a diversifier against the performance of its annuity, health and life insurance operations.

CNO's business profile is well diversified. It develops, markets, and administers Medicare supplement, supplemental health (specified disease, hospital indemnity and accident insurance), annuity products (including fixed indexed annuity, traditional fixed rate annuity and single premium immediate annuity), and life products (including traditional life and interest-sensitive life). CNO also distributes third-party products such as Medicare Advantage and Prescription Drug Plans. These products are primarily sold to the middle-income, pre-retiree and retired marketplace utilizing two sales channels - the Consumer and Worksite Divisions. These divisions utilize an exclusive agency force, direct marketing and independent distribution partners.

CNO continues to enhance its risk management and financial flexibility. They have a long track record of improving their capital structure by refinancing debt with longer maturities, reducing its total debt obligations, amending its senior secured credit facility, reducing interest expense, initiating a share buyback program, and recently launching a Bermuda affiliate.

Financial Leverage Summary - Holding Company

Financial Leverage Ratio (%)	33.80
Adjusted Financial Leverage Ratio (%)	32.50
Interest Coverage (x)	2.33

Operating Performance

The group's operating trends over the past few years are favorable with strong core trends on premiums and investment income. These positive trends follow CNO's 2018 long-term care (LTC) reinsurance transaction, where the growth measures are still reflective of the five-year positive trends and decreased volatility in earnings, which contributes to its positive operating performance strength.

CNO has diverse sources of revenue from its annuity, health and life businesses. Favorable loss ratios, ongoing expense management and improved yield on the investment portfolio resulting in stronger net investment income results have contributed to the growth in earnings in recent years. In 2025, CNO Financial Group's statutory pre-tax operating gain is \$192.5 million, which is its lowest reported statutory gain over the past five years, however, CNO Financial's diverse revenue stream and complementary product lines could absorb any potential earning challenges from any one line of business in future periods.

The group's annuity operations, consisting primarily of deferred and fixed indexed annuities, have produced favorable earnings results for CNO. With strong persistency and competitive crediting rates in the marketplace, this block of business is expected to continue to produce solid favorable results with some slight near term pull back of earnings growth from less favorable mortality rates. CNO's life segment has generated near term favorable sales growth and net operating gains following some volatility in this line in prior years from lingering adverse mortality impacts from the COVID-19 pandemic. Net investment income within CNO group has increased considerably over the past few years; however, a decline in 2022 reflected adverse results from fluctuations based on the value of options embedded in the Company's fixed indexed policyholder account balances. Prior to 2022, the increases in investment income were reflective of growth in invested assets following the LTC reinsurance transaction and CNO's expansion of the Federal Home Loan Bank (FHLB) program for Bankers Life and Washington National. The current average portfolio yields have increased in 2024, resulting in the year over year net investment income increase being driven by stronger new money yields and total earned yield from the growth in the size of the asset base itself, attributable to strong recent sales performance. In 2025 yields and investment income decreased, largely due to the absence of the elevated yields experienced by equity markets in the prior year.

Historically, CNO's LTC earnings had been volatile. The profitability of this product line, mostly sold by Bankers Life, was highly dependent on the company actively managing its exposure to LTC and associated product risks. In 2018, the company significantly reduced its exposure to LTC by executing a co-insurance transaction with Wilton Re, a highly rated reinsurer by ceding \$2.7 billion in

Operating Performance (Continued...)

reserves for LTC policies issued prior to 2002. The LTC business currently being sold is underwritten using stricter underwriting and pricing standards and has shorter benefit periods than the LTC policies that were ceded pursuant to its 2018 reinsurance transaction. Furthermore, in 2018, the company ceased sales of home healthcare only LTC policies and largely ceased sales of comprehensive and nursing home LTC policies with benefit periods exceeding three years.

Year End - December 31

Net Operating Gain By LOB USD (000)	2025	2024	2023	2022	2021
Individual Life	-37,299	-44,428	-51,071	-63,477	-62,839
Group Life	3,037	-4,141	-8,081	-10,507	-17,586
Individual Annuities	106,675	161,279	137,132	96,027	141,492
Group Annuities	725	606	1,203	813	1,530
Accident & Health	32,835	160,832	29,094	150,482	112,547
Other Lines of Business	-8,818	-24,170	3,134	56,919	54,468
Total	97,156	249,977	111,410	230,257	229,611

Source: BestLink® - Best's Financial Suite

Year End - December 31

Accident & Health Statistics	2025	2024	2023	2022	2021
Net Premiums Written USD (000)	1,576,346	1,623,081	1,585,388	1,612,035	1,658,731
Net Premiums Earned USD (000)	1,617,267	1,618,286	1,591,969	1,617,235	1,660,985
Claims and Cost Containment Ratio (%)	-30.6	84.6	85.8	79.3	80.0
Expense Ratio (%)	30.8	33.1	32.6	32.1	31.9
Combined Ratio (%)	0.2	117.8	118.5	111.4	111.9
Underwriting Results USD (000)	-217,593	-276,874	-277,205	-144,854	-181,519

Source: BestLink® - Best's Financial Suite

Business Profile

CNO markets products through its Consumer and Worksite Divisions. Products are sold under multiple brands and each division utilizes an exclusive agency force, direct marketing, and independent distribution partners. The Consumer division serves the individual consumer through phone, online, face-to-face with agents or a combination of sales channels. CNO has one of the largest domestic direct-to-consumer businesses which also operates under the Consumer division. It operates using advertising, web/digital platforms and call centers to support its sales and services. The agent and direct-to-consumer channels within the division are integrated and incentivized to service customers how they choose. CNO's Worksite division focuses on marketing voluntary life and health insurance products through on-site and virtual enrollments for employers, associations, and membership groups.

CNO's health lines include Medicare supplement, supplemental health (specified disease, hospital indemnity and accident insurance) and long-term care. Annuity products include fixed index annuity, traditional fixed rate annuity and single premium immediate annuity. Life products include traditional life and interest-sensitive life.

Bankers Life and Casualty Company (Bankers Life) is domiciled in Illinois and primarily markets and distributes Medicare supplement insurance, interest-sensitive and traditional life insurance, fixed annuities, critical illness, hospital indemnity and long-term care insurance products to the middle-income senior market through exclusive agents. The company also markets and distributes Medicare Advantage and PDP plans primarily through distribution arrangements with the leading managed care insurance companies.

Bankers Consecro Life Insurance Company is domiciled in New York and primarily markets traditional whole life, annuities, critical illness, and long-term care insurance products through exclusive agents and direct marketing exclusively in the state of New York.

Colonial Penn Life Insurance Company (Colonial Penn) is [domiciled in Pennsylvania] and primarily markets graded benefit and simplified issue life insurance. These products are sold through direct media channels including television advertisements, the internet, direct mail and telemarketing. Colonial Penn also refers certain clients interested in higher coverage life products to Bankers Life for cross-selling opportunities. On a statutory basis, the financials related to a portion of CNO's Medicare supplement business was reported on Colonial Penn paper. Colonial Penn also offers a permanent whole life product sold as guaranteed acceptance, where

Business Profile (Continued...)

policies are not underwritten and have a limited benefit. The price is fixed, and coverage is based on age, gender and state of residence. This has a multiple unit option.

Washington National Insurance Company (Washington National), markets supplemental health (primarily specified disease, accident and hospital indemnity), in addition to life insurance products to the middle-income market at the worksite or at home. The company's insurance products are primarily sold by Performance Matters Associates, Inc. (PMA), a wholly-owned subsidiary, exclusively representing Washington National or its affiliates. Products are also distributed through independent insurance and marketing agencies.

2025 By Line Business	Direct Premiums Written		Reinsurance Premiums Assumed		Reinsurance Premiums Ceded		Net Premiums Written		Business Retention
	USD (000)	%	USD (000)	%	USD (000)	%	USD (000)	%	%
Individual Life	930,069	19.6	707	0.2	24,558	0.6	906,219	87.7	97.4
Group Life	86,494	1.8	6	...	34	...	86,466	8.4	100.0
Individual Annuities	1,940,107	40.9	...	...	1,741,112	43.3	198,995	19.3	10.3
Group Annuities	16	...	...	...	...	...	16	...	100.0
Accident & Health	1,788,398	37.7	307,523	99.8	2,253,908	56.1	-157,988	-15.3	-7.5
Total	4,745,085	100.0	308,236	100.0	4,019,612	100.0	1,033,709	100.0	20.5

Source: BestLink® - Best's Financial Suite

Year End - December 31

Geographic Breakdown by Direct Premiums Written and Deposit-Type Contracts USD (000)

	2025	2024	2023	2022	2021
Illinois	814,006	729,326	964,704	251,092	900,619
Delaware	771,171	1,617,178	15,884	917,001	516,017
Florida	566,799	511,758	478,971	479,637	463,481
Indiana	293,473	179,217	314,948	341,099	209,878
Iowa	265,712	252,152	232,578	242,123	229,551
Top 5 States	2,711,160	3,289,631	2,007,086	2,230,953	2,319,546
All Other	3,528,988	3,435,870	3,227,368	3,231,000	3,099,099
Total	6,240,148	6,725,501	5,234,454	5,461,953	5,418,645
Geographic Concentration Index	0.06	...	...	...	...

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

CNO's formal enterprise risk management (ERM) program encourages a strong risk culture and governance, ongoing discipline of risk identification and regular reporting with the group's senior management and board of directors. The ERM committee, which includes members of senior management and operation heads, is chaired by the Chief Risk Officer and meets quarterly to discuss, define and review potential risks and assign a risk owner to each of those risks. The ERM committee defines the financial impact of each risk in addition to defining the likelihood of those risks occurring. Those risks identified are summarized in a formal quarterly report and a heat map utilized as a tool to monitor its top risks. The company's mature program is continuously evolving as on-going risk identification is refreshed in quarterly reviews and reported in its risk register, which captures the key risk information. The risks are presented as a dashboard and communicated to CNO's Enterprise Risk Management Committee, Audit Committee and Board of Directors quarterly. The ERM committee also oversees various CNO risk committees and functional activity including capital management, stress testing for reserve adequacy, operational and information technology risk and asset/liability duration matching sub-committees as examples.

Reinsurance Summary

CNO relies on its reinsurance partners to implement its risk management strategies. This reliance creates credit risk in the reinsurance counter-parties. The company's counter-party risk is mitigated by partnering with highly regarded and well-known companies rated A+

Enterprise Risk Management (Continued...)

or higher by AM Best for the vast majority of its reinsured business. More recently, CNO formed CNO Bermuda Re, a captive reinsurance company in Bermuda. The company has executed two transactions with its Bermuda entity. Effective October 1, 2023, Bankers Life and Casualty Company ceded approximately \$6.2 billion of fixed indexed annuity reserves, along with 100% of new business prospectively, to the affiliate. Subsequently, effective October 1, 2025, Washington National ceded approximately \$1.8 billion of Supplemental Health reserves and 50% of new Supplemental Health business to the affiliate.

Environmental, Social & Governance

The company has integrated ESG into its investment process in assessing relative value. Key investment risks are identified, and risk mitigation strategies are applied to reduce exposure to those risks. The investment selection process includes adding material ESG factors into asset decision making. This involves active external and internal scoring of most of the portfolio. ESG metrics are now included in incentive compensation. The organization's investment team employs ESG training sessions for its associates. AM Best believes the company has limited exposure to downside ESG risk factors at this time.

Financial Statements

Year End - December 31

	2025		2024	
Balance Sheet	USD (000)	%	USD (000)	%
Cash and Short Term Investments	383,824	1.2	1,050,115	3.4
Bonds	24,027,622	77.4	24,659,899	79.0
Preferred and Common Stock	2,072,031	6.7	1,450,142	4.6
Other Invested Assets	3,400,701	11.0	2,931,279	9.4
Total Cash and Invested Assets	29,884,178	96.2	30,091,435	96.4
Premium Balances	160,870	0.5	163,945	0.5
Net Deferred Tax Asset	171,710	0.6	172,824	0.6
Other Assets	834,431	2.7	788,237	2.5
Total General Account Assets	31,051,190	100.0	31,216,440	100.0
Separate Account Assets	2,802	...	3,261	...
Total Assets	31,053,992	100.0	31,219,702	100.0
Net Life Reserves	16,761,130	54.0	15,859,869	50.8
Net Accident & Health Reserves	5,167,069	16.6	6,842,104	21.9
Liability for Deposit Contracts	6,255,901	20.1	5,662,366	18.1
Asset Valuation Reserve	508,639	1.6	406,959	1.3
Other Liabilities	981,784	3.2	1,023,039	3.3
Total General Account Liabilities	29,674,524	95.6	29,794,337	95.4
Separate Account Liabilities	2,802	...	3,261	...
Total Liabilities	29,677,326	95.6	29,797,598	95.4
Capital Stock	39,537	0.1	39,537	0.1
Paid-In and Contributed Surplus	2,113,169	6.8	2,442,919	7.8
Unassigned Surplus	-936,039	-3.0	-1,220,353	-3.9
Other Surplus	160,000	0.5	160,000	0.5
Total Capital and Surplus	1,376,666	4.4	1,422,103	4.6
Total Liabilities, Capital and Surplus	31,053,992	100.0	31,219,702	100.0

Source: BestLink® - Best's Financial Suite

	Year End - December 31	
Income Statement USD (000)	2025	2024
Net Premiums Earned:		
Individual Life	906,219	878,083
Group Life	86,466	89,191
Individual Annuities	198,995	242,684
Group Annuities	16	26
Accident & Health	-157,988	1,623,081
Total Net Premiums Earned	1,033,709	2,833,065
Net Investment Income	1,499,267	1,594,788
Reserve Adjustments on Reinsurance Ceded	855,507	840,661
Other Income	382,866	307,409
Total Revenue	3,771,349	5,575,923
Policy Benefits	1,924,018	3,706,732
Commissions and Expense Allowances	549,605	509,178
Insurance and Other Expense	1,105,529	1,053,220
Net Transfers to (from) Separate Accounts	-777	-208
Dividends to Policyholders	499	523
Pre-Tax Net Operating Gain	192,476	306,479
Income Taxes Incurred	95,320	56,502
Net Operating Gain	97,156	249,977
Net Realized Capital Gains	-63,382	-20,302
Net Income	33,773	229,676

Source: BestLink® - Best's Financial Suite

	Year End - December 31	
Statement of Operating Cash Flows USD (000)	2025	2024
Net Premiums Collected	2,655,277	2,833,483
Net Investment Income	1,325,695	1,295,690
Other Income Received	684,558	301,820
Total Collected Operating Revenue	4,665,530	4,430,993
Net Benefits and Loss Related Payments	1,830,744	1,903,064
Commissions and Other Expenses Paid	1,520,376	1,669,464
Net Transfers to (from) Separate Accounts	-777	-208
Dividends to Policyholders	525	550
Income Taxes Paid (Recovered)	36,669	80,075
Total Paid Expenses and Transfers	3,387,537	3,652,944
Net Operating Cash Flow	1,277,993	778,049

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

[AM Best's Stress Liquidity Ratio for US Life Insurers, 05/09/2024](#)

[Best's Credit Rating Methodology, 08/29/2024](#)

[Available Capital and Insurance Holding Company Analysis, 09/18/2025](#)

[Scoring and Assessing Innovation, 02/20/2025](#)

[Understanding BCAR for US and Canadian Life/Health Insurers, 10/09/2025](#)



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